UGANDA SECURITIES EXCHANGE



Annual Report 2009



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USE Governing Council



Mr. Samwiri H.K. Njuki
Chairman
Uganda Securities Exchange



Mr. Samuel Njirwa
Managing Director
Dyer & Blair (U) Ltd.



Mr. A.R. Kalan
Managing Director
Crane Financial Services Ltd.



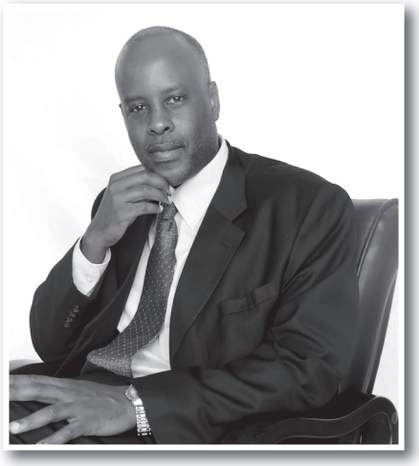
Mr. Andrew Owiny
Managing Director
MBEA Brokerage Services (U) Ltd.



Mr. Njoroge Ng'ang'a
Managing Director
Dyer & Blair (U) Ltd. (Retired)
March 2009



Mr. Rajesh Khanna
Director, Baroda
Capital Markets (Retired)
September 2009



Mr. Simon Rutega
Chief Executive
Uganda Securities Exchange



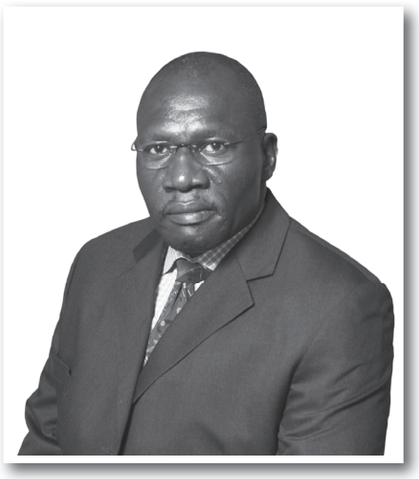
Ms. Agnes Mayanja
Head of Risk
DFCU Ltd



Mr. Kenneth Kitariko
Chief Executive Officer
African Alliance (U) Ltd



Mr. Kaushal Kumar
Director
Baroda Capital Markets (U) Ltd



Mr. G.A. Onegi Obel
Executive Chairman
UAP Financial Services (U) Ltd



Mr. Mark Horwood
Director
Equity Stock Blockers (U) Ltd



Chairman's Statement

It is with great pleasure that I once again present to you the Annual Report and Accounts for the period ending 31st December 2009 and to share with you some of the events that took place at the Uganda Securities Exchange during the period.

The USE has a very clear vision to be the leading platform for trading of securities and mobilization of capital and savings in Uganda. In achieving this we aim to provide an efficient, secure and transparent securities market by upholding our core values which include transparency, accountability, efficiency, integrity, commitment and innovation. Underlying these aims we also want to be valued by the communities where we operate through high ethical standards, attractive investment returns for the investors, community education and involvement through continuous public sensitization campaigns and a commitment to corporate social responsibility.

The Economy

The global economic environment was adversely affected by the global financial meltdown and the subsequent credit crunch. The meltdown greatly affected the levels of stock market activity and investor confidence across the world. Against this turbulent backdrop, secondary market activity recorded at the USE dropped substantially compared to activity recorded in 2008. The exchange rates appeared to be in a mood to give us further headache by moving in all directions, while the interest rates were dipping.

Product Development

Attracting listings on the USE remained among our key priorities. During the year, the USE listed its 11th equity listing, Equity Bank Limited and two corporate bonds, Stanbic Bank Uganda and the PTA Bank Bonds.

In efforts to attract listings on its Alternative Market Segment, USE initiated a SME relaunch programme aimed at encouraging companies from the private sector to raise capital through the capital markets. The first phase of this programme which entailed a feasibility study to identify privately owned companies eligible for listing was completed in which forty one companies were identified as eligible. The next phase of the SME program which is to provide training to the eligible companies will begin in the first quarter of 2010.

Investor Confidence

Investor confidence remains critical to our business. Retaining and broadening both our local and foreign investor numbers through integrity, innovation and transparency is a key part of our strategy. This the USE achieved through the continuous review of the various rules which are promulgated to specifically protect investors, the automation of the registry function, by acquiring the Securities Central Depository (SCD), providing a high quality service and products that provide good returns to the investors and continued public awareness on the benefits and risks of capital markets.

Corporate Governance

While the board of any company must ensure that a robust governance structure is in place, we are equally committed to fostering a culture throughout the organization that values exemplary ethical standards, personal and corporate identity, teamwork, personal responsibility and respect for others. Our approach to governance is based on the belief that there is a link between high quality governance and the creation of value to our stakeholders.

The Governing Council's ongoing renewal process continued throughout the year. Mr. Njoroge N'gang'a and Mr. Rajesh Khanna left the Governing Council at the end of March and September 2009 respectively, when they retired to take up other postings. I would like to thank Mr. N'gang'a and Mr. Khanna for their significant contribution to the USE and wish them well for the future. I wish to welcome Mr. Samuel Njirwa, an accountant and investment banker, who replaces Mr. N'gang'a and Mr. Kaushal, a banker, who replaces Mr. Khanna. Both Mr. Njirwa and Mr. Kaushal bring valuable experience to the USE through their very successful careers.

Outlook

As we look forward to 2010, we face the prospect of slow global economic activity and all the associated challenges that this brings. Despite this our strategy remains aggressive. The progress made over the last eleven years demonstrates that the USE has the resilience from which we can continue to grow our business. We believe that our excellent market position, based on a stable macro economic environment, strong regulatory framework, liberalized investment climate and unwavering commitment to integrity, leaves us well positioned to continue to grow our investor base and number of listings on the USE.

Conclusion

I thank my fellow Governing Council members who have once again given me their wise counsel, keen cooperation and support. Appreciation also goes to all of our staff team for their contribution to ending 2009 in a better state than had been projected, given the challenges both local and global. It is the commitment, support and dedication of every one of our employees that makes the difference. Lastly but not least, I wish to thank our various stakeholders who have continued to support the growth and development of the USE and I look forward to continuing our journey together in the years ahead.

Thank You



Samwiri H.K.Njuki
Chairman
11th March 2010.





Chief Executive's Review

I am pleased to submit to you the Annual Report covering the period ending 31st December 2009. The year under review was perhaps one of the most challenging years in the history of the USE in light of the global financial meltdown and the resultant effect it had on trading volumes and investment. However, despite these challenges USE remained resilient providing a transparent and efficient trading platform for investors in the Ugandan capital markets.

Over the last few years, USE has continued its efforts to promote a favourable capital markets industry climate in Uganda and has witnessed the accomplishment of critical milestones. In principle as believers that the stock exchange is the face of a deep and well functioning financial system, it is evident that we are on the right track in tackling the entry points of these required fundamentals. I want to assure our stakeholders that we have clear and defined objectives at the USE which will include regional integration in the very near future.

The biggest challenge in our economy as I see it today is strengthening the linkages between growing the economy, a fast growing young population, fighting poverty and job creation. The critical issue at hand in the short run is ensuring that key conditions for financial system deepening exist especially through developing the structures required to mobilize long term savings for productive enterprise. I have no doubt in my mind that increased savings in the economy will have a positive impact on the economy including the direct effect of reducing domestic interest rates. In this regard, I am happy to report that during the end of this financial year the Uganda Retirements Benefits Regulatory Authority draft Bill and principles for pension liberalization were considered and passed by cabinet. More importantly, during the period under review, the Financial Markets Development Committee which was launched by the Governor, Bank of Uganda and of which I have the honor and privilege to Chair, embarked on the implementation of its business plan. Specifically, this Committee is charged with the implementation of policies that will ensure a deep, diverse and robust financial system in Uganda in the next five years.

During the financial year under review, some of our major achievements included completion of our Securities Central Depository project which is scheduled to be launched early next year. The Project is intended to move us away from a manual delivery, clearing and settlement system to an automated clearing and settlement system and enabling final migration to an automated trading environment.

During the year under review, USE approved the cross listing of Equity Bank which is an additional product to the main investment market segment. We also listed the Stanbic and PTA bank bonds as additional products to the fixed income market segment.

Meanwhile, USE continues to promote regional integration, investment clubs and continues to structure successful modules of securities industry training courses for a broad spectrum of professionals including the banking, insurance, auditing and legal fraternity through the Securities Industry Training Institute. USE also participated in the African Stock Exchange Association meeting in Nigeria in November 2009 where I had the honor of being elected the Vice President of the Association.

Appreciation

Let me extend my appreciation to all individuals and organizations, that have supported USE's efforts in developing the capital markets industry. Special tribute is extended to the Bank of Uganda, the Privatization Unit, and the Private Sector Foundation which have provided enormous support to our programs this financial year through the Financial Markets Development Program. I am grateful for the guidance and support extended to me by the Chairman and Governing Council members and of course special appreciation goes to the USE staff for their continued dedicated efforts, diligence and hard work.



Simon Rutega
Chief Executive



Corporate Governance

Corporate Governance is an internal system encompassing policies, processes and people, which serves the needs of shareholders (member firms in the case of Uganda Securities Exchange which is a company limited by guarantee) and other stakeholders by directing and controlling management activities with good business savvy, objectivity, accountability and integrity. Sound Corporate Governance is reliant on external market place commitment and legislation plus a healthy board culture which safeguards policies and processes. The Uganda Securities Exchange Governing Council is committed to implementing governance principles and constantly monitoring its practices to ensure that they are best fit for Uganda Securities Exchange.

In carrying out its objectives, the USE Governing Council is assisted by four substantive committees namely; Audit Committee, Finance and Projects Committee, Human Resources Committee, Listings Committee and Business Development Committee. During its 86th meeting, the Governing Council revised the Terms of Reference of the Audit Committee and it was resolved that the Business Development Committee sits as the Business Conduct Committee as and when necessary to comply with the requirements of the Securities Central Depositories Regulations.

Board Composition

Uganda Securities Exchange Limited is headed by an effective Council which is balanced and has a mix of nine (7) member directors and two (2) independent directors. It is collectively responsible for the success of the company. The Chairman of the Council is an independent director. During the 2009 Financial Year, Mr. Rajesh Khanna was replaced on the Governing Council by Mr. Kaushal Kumar and Mr. Njoroge Ng'ang'a was replaced by Mr. Samuel Njirwa.



Hon. Ephraim Kamuntu, Minister of State for Planning and Economic Development launches the SME Listing Programme.



Equity Bank Ltd(EBL) Group Chairman, Mr. Peter Munga rings the bell at the EBL Cross Listing ceremony.

Trading

Main Investment Market Segment - MIMS

Equity turnovers recorded in 2009 in comparison to 2008

	1st Jan – 31st Dec 2009	1st Jan – 31st Dec 2008
Turnover (Ushs)	19.7bn	89.8bn
Volumes (shares)	123.2m	217m
Deals	5,698	15,659
Trading days	150	148
Daily average turnover (Ushs)	131.6m	606.6m
Commission (Ushs)	55.3m	251.3m
ALSI (Closing)	732.53	779.28

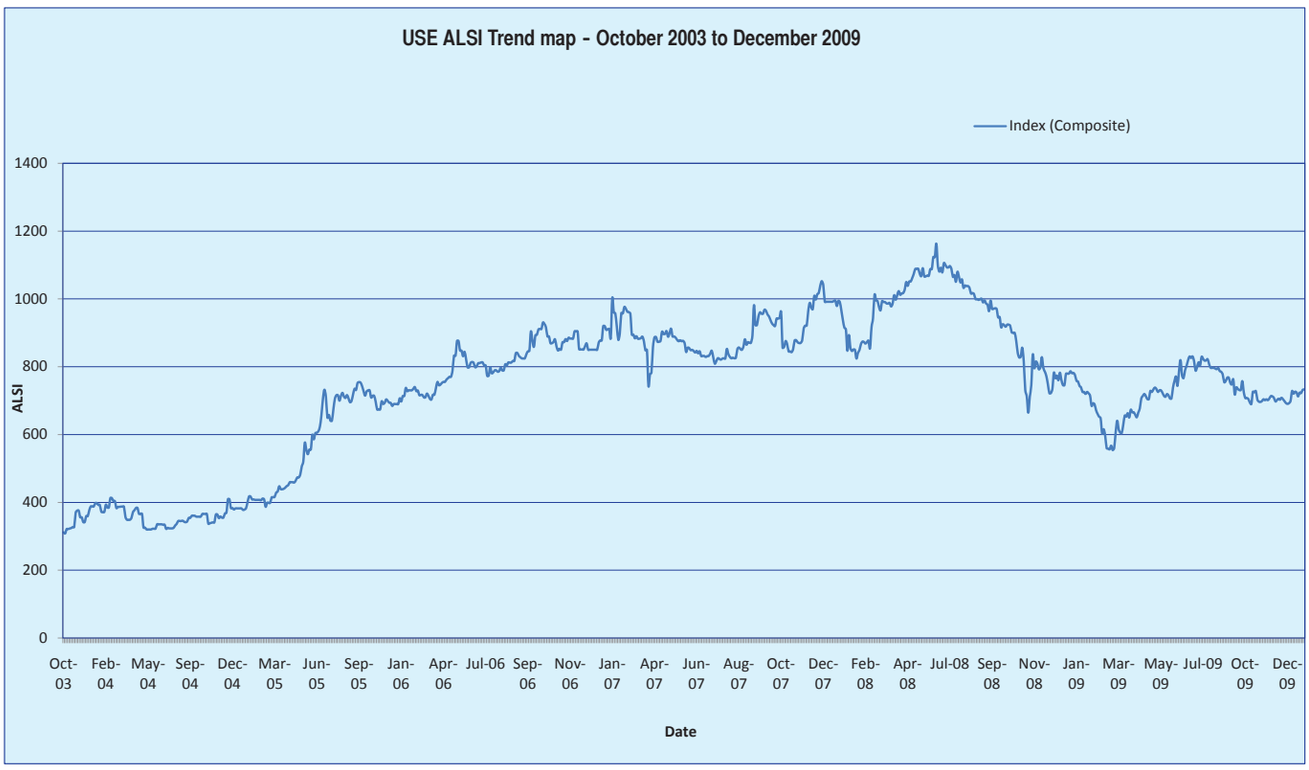
Source: - USE Research Dept.

Turnover recorded per Counter

Ticker	Turnover (Ushs)	Volume	%Turnover	%Volume
BATU	58,741,925	98,522	0.30%	0.08%
BOBU	1,501,386,325	3,979,532	7.61%	3.23%
DFCU	2,172,793,655	4,016,793	11.01%	3.26%
EABL	-	-	-	-
EBL	235,330,840	565,750	1.19%	0.46%
KA	-	-	-	-
KCB	3,622,500	6,781	0.02%	0.01%
NVL	924,312,795	1,740,820	4.68%	1.41%
SBU	12,662,503,115	83,942,873	64.15%	68.12%
UCL	2,180,378,990	28,880,818	11.05%	23.44%
	19,739,110,145	**123,231,889**		

Source: - USE Research Dept.

Market Performance Development



ALSI Index Statistics

Base Value	- 100
High	- 1,162 (June 2008)
Low	- 307.81 (October 2003)
As at end Dec 2008	- 779.25
2009 low	- 553.62 (10th March, 2009)
2009 high	- 829.95 (13th July, 2009)
Closing value 2009	- 732.53

Source: USE Research Department.



Inauguration Ceremony of SITI East Africa Board members at the USE offices in December 2009.



H.E. Y.K. Museveni at the official opening of the 12th ASEA conference held in Kampala.

Fixed Income Securities Market Segment – (FISMS)

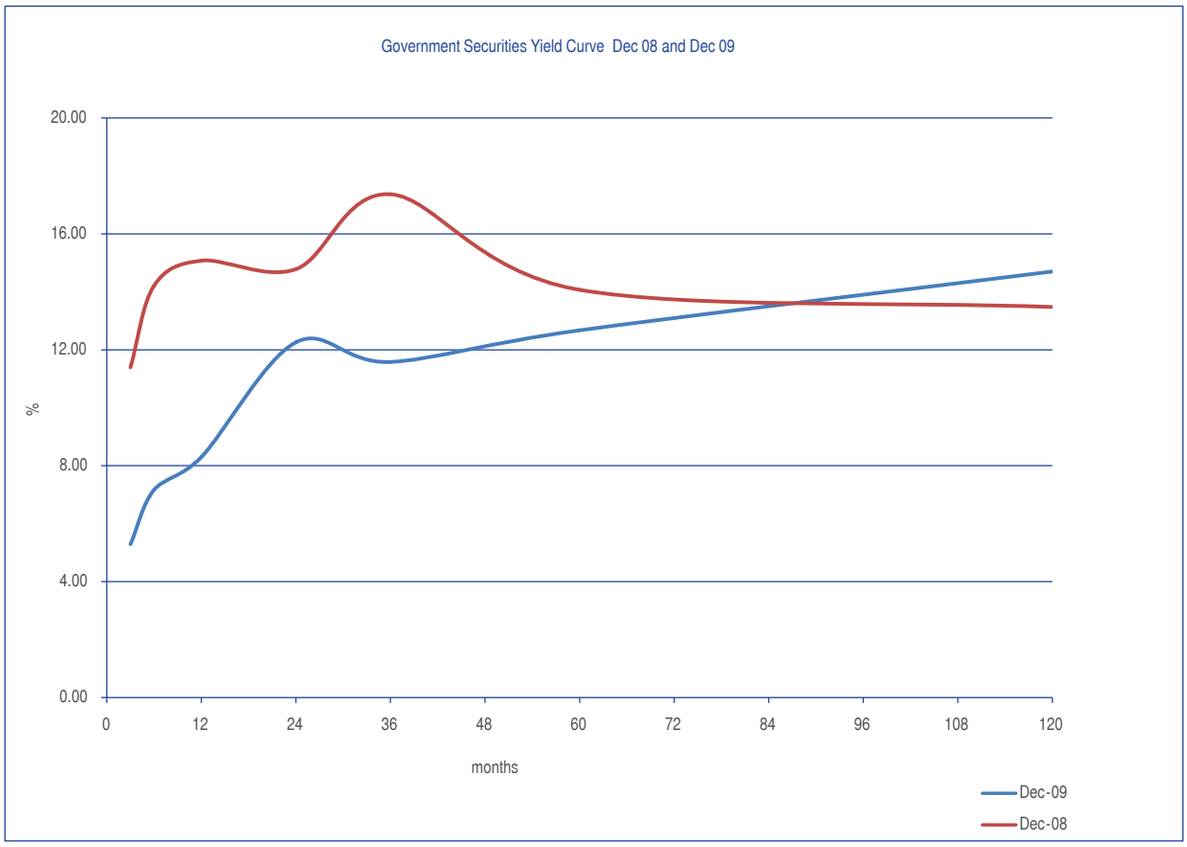
Government Bonds: Secondary market activity recorded in the year 2009

Issue No.	Value (Ushs)	Turnover Ushs	Auction Date	Maturity Date	Rate (%)	Days to maturity
FXD 3/2004/5	60bn	1,959,400,000	24/03/2004	19/03/2009	10.75, FIXED	-
FXD 4/2004/10	15bn	200,000,000	19/05/2004	08/05/2014	11.00, FIXED	1547
FXD 2/2006/3	45bn	14,000,000,000	08/02/2006	05/02/2009	10.25, FIXED	-
FXD 3/2006/3	50bn	12,000,000,000	10/03/2006	05/03/2009	10.25, FIXED	-
FXD 5/2006/5	40bn	29,715,800,000	31/05/2006	26/05/2011	10.75, FIXED	469
FXD 6/2006/3	50bn	12,408,000,000	04/07/2006	25/06/2009	10.25, FIXED	-
FXD 7/2006/4	60bn	1,450,000,000	28/08/2006	20/08/2009	10.25, FIXED	-
FXD 10/2006/3	90bn	70,336,700,000	20/11/2006	12/11/2009	10.25, FIXED	-
FXD 1/2007/3	30bn	8,690,000,000	03/05/2007	29/06/2010	10.25, FIXED	-
FXD 2/2007/2	40bn	101,000,000	22/10/2007	15/10/2009	10.00, FIXED	-
FXD 3/2007/5	40bn	11,544,000,000	25/07/2007	19/07/2012	10.75, FIXED	889
FXD 4/2007/3	45bn	51,214,000,000	22/08/2007	19/08/2010	10.25, FIXED	189
FXD 5/2007/2	55bn	25,926,400,000	20/09/2007	17/09/2009	10.00, FIXED	-
FXD 6/2007/3	67bn	47,840,000,000	04/10/2007	30/09/2010	10.25, FIXED	231
FXD 7/2007/5	60bn	9,905,900,000	14/11/2007	08/11/2012	10.75, FIXED	1001
FXD 8/2007/3	51.6bn	3,621,230,000	29/11/2007	26/11/2010	10.25, FIXED	288
FXD 9/2007/2	60bn	81,586,800,000	12/12/2007	10/12/2009	10.00, FIXED	-
FXD 10/2007/3	30bn	9,275,000,000	28/09/2007	24/09/2010	10.25, FIXED	225
FXD 1/2008/2	60bn	12,655,600,000	09/01/2008	07/01/2010	10.00, FIXED	7
FXD 2/2008/3	60bn	99,375,600,000	05/03/2008	03/03/2011	10.25, FIXED	385
FXD 3/2008/2	52.7bn	64,790,000,000	02/04/2008	01/04/2010	10.00, FIXED	49
FXD 4/2008/3	60bn	7,715,000,000	30/04/2008	29/04/2011	10.25, FIXED	442
FXD 5/2008/3	40bn	91,475,000,000	14/05/2008	12/04/2011	10.25, FIXED	425
FXD 6/2008/2	60bn	55,111,700,000	28/05/2008	27/05/2010	10.00, FIXED	105
FXD 8/2008/3	30bn	47,955,000,000	30/06/2008	23/06/2011	10.25, FIXED	497
FXD 9/2008/3	50bn	12,507,100,000	20/08/2008	18/08/2011	10.25, FIXED	553
FXD 10/2008/3	45.7bn	4,460,000,000	12/09/2008	15/09/2011	10.25, FIXED	581
FXD 11/2008/3	60bn	25,802,000,000	12/11/2008	10/11/2011	10.25, FIXED	637
FXD 1/2009/2	40bn	-	12/01/09	01/06/11	10.00, FIXED	329
FXD 2/2009/2	50bn	51,213,000,000	04/02/2009	03/02/2011	10.00, FIXED	357
FXD 3/2009/3	60bn	35,553,000,000	01/04/2009	29/03/2012	10.25, FIXED	777
FXD 4/2009/3	60bn	29,779,300,000	29/04/2009	04/02/2012	10.25, FIXED	723
FXD 5/2009/3	50bn	80,262,000,000	27/05/2009	24/05/2012	10.25, FIXED	833
FXD 6/2009/2	50bn	76,104,400,000	22/07/2009	21/07/2011	10.00, FIXED	525
FXD 7/2009/3	50bn	18,575,000,000	19/08/2009	16/08/2012	10.25, FIXED	917
FXD 8/2009/5	90bn	6,760,000,000	17/09/2009	11/09/2014	10.75, FIXED	1673
FXD 9/2009/2	60bn	40,888,000,000	15/10/2009	13/10/2011	10.00, FIXED	609
FXD 10/2009/10	60bn	-	11/11/2009	31/10/2019	11.00, FIXED	3549
Total (Ushs)		**1,152,755,930,000**				

Source: Bank of Uganda

Source; USE Research Dept

Market Performance Development



Listings

Initial Public Offerings (IPOs)

The National Insurance Company Ltd IPO was launched on 31st December, 2009. The offer was up to 161,552,000 shares at Ushs 45 per share, representing 40% of the issued share capital.

Equity Bank Limited

Equity Bank Limited (EBL) cross listed on the Uganda Securities Exchange on 18th June 2009; making it the fifth financial institution to list on the USE after Bank of Baroda Uganda Ltd; Kenya Commercial Bank; DFCU Group; Jubilee Holdings Limited and Stanbic Bank Uganda and the fourth cross listing onto the USE. Equity Bank Ltd is the parent bank of Equity Bank Uganda Limited which started its operations in Uganda in 2008 following a merger with the former Uganda Microfinance Limited (UML) into a Micro Finance Deposit Taking Institution and later a fully fledged commercial Bank.

Stanbic Bank Note

The seven year Stanbic Bank Bond worth a total of Ushs 30 billion was listed on the bourse on 17th August 2009. Interest rate determination is either a floating rate or floating with the fixed component running at 14.5% and the floating rate running at 150 basis points above the GOU 182-day Treasury bill rate.

PTA Bank Bond

The Eastern and Southern African Trade and Development Bank (PTA Bank) bond was listed on the USE Fixed Income Securities Market Segment (FISMS) in November 2009. The bond, which is worth Ushs 40billion, has a floating rate component priced at 125 bp above the 182-day Treasury bill rate and a fixed rate component priced at 14.5%.

Government Bonds
2009 witnessed 11 Treasury bond listings on the 2, 3 and 5 year tenors. Aggregate value of the issuances was Ushs 524billion.

Corporate Actions and Events
New Vision Limited, East African Breweries Limited, Stanbic Bank Uganda, British American Tobacco Uganda and Bank of Baroda Uganda released their financials during the period under review.

Securities Central Depository (SCD)

SCD License Application
The Capital Markets Authority (CMA) Uganda approved USE's application to operate the Securities Central Depository (SCD) in December, 2009. The SCD will be operating as a division of the Exchange and is expected to Go-Live in the first quarter of 2010.

SCD Awareness, Stakeholder Training and Capacity Building
In preparation for the transition to an electronic clearing and settlement regime under the SCD framework; the Exchange embarked on a series of SCD Public awareness and Industry Capacity Building Initiatives targeted at potential SCD operatives, and other key stakeholders.

An SCD Module is to be incorporated in the Securities Industry Training Institutes Curriculum, and plans are to make the module mandatory for all Securities Central Depository Agents (SCDAs)

Among the SCD preparatory activities carried out were:-

The 1st phase of the FMDC - funded SCD Training of Trainers workshop held between 18th - 22nd August, 2009 in which 25 people were trained.

SCD Mock parallel runs which were conducted in September 2009. The parallel runs were used to test the SCD system with real trades in a test environment while providing SCD operatives with the opportunity to learn from operating the system.
SCD Media campaigns which were launched on October 5th 2009 comprising radio talkshows, adverts and newspaper articles, which saw the campaign run throughout the months of November and December 2009. A joint USE/CMA SCD Brochure was also published as one of the educational tools used in the campaign.

A Special SCD session for Issuers and Registrars held in September 2009.

A special joint USE/CMA SCD session for all industry practitioners on the SCD Regulatory environment which was held in June, 2009.

Public Education

Securities Industry Training Institute (SITI)
The incorporation of SITI was completed on September 20th, 2009. At the 15th EASEA meeting held in October 2009, members of EASEA agreed to capitalize SITI by the agreed amount of USD 15,000 per member by January 1st 2010.

SITI East Africa constituted its board of 5 members at its inaugural Annual General Meeting (AGM) at which Mr. Simon Rutega, Chief Executive, USE was elected SITI Board Chairman. Other SITI board members are; Mrs. Rose Mambo CEO CDSC Kenya, Mr. Jonathan Njau CEO of Dar es Salaam Stock Exchange, Mr. Robert Mathu Executive Director Capital Market Advisory Council Rwanda and Mr. Peter Mwangi CEO, Nairobi Stock Exchange.

Through funding from IFC under the Efficient Securities Markets Institutional Development (ESMID) program for capacity building within the East African Region, the SITI curriculum was developed by DEVPAR Consultants of Canada. SITI East Africa acquired a curriculum with over 20 modules, and during the course of the year, DEVPAR Consultants led by Mr. Jim Chester rolled out various modules across the region. Over 540 individuals were trained under these pilot trainings.

USE Small and Medium Enterprise Listing Project
In effort to encourage Small and Medium Enterprises (SMEs) listings on the Alternative Investment Market Segment (AIMS), USE in partnership with the Financial Markets Development program and Private Sector Foundation of Uganda initiated the SME re-launch and listing program. The first phase of the SME project whose objective was to identify eligible issuers from the private sector, selected 41 companies. Following the selection of the companies, a stakeholder's workshop was held on November 25th 2009 to discuss the findings of the survey and to usher in phase two of the project which would entail training and offering technical assistance to the identified SMEs with the potential to list. This project is funded under the Financial Markets Development Program of the World Bank in collaboration with the Private Sector Foundation Uganda.

Legal and Surveillance Report

Development of the legal and regulatory framework

In the period under, review, the Exchange continued to review its rules to ensure that they remain relevant. To this end, the department worked closely with the Capital Markets Authority to ensure that a robust regulatory framework continued to exist for the operations of the Exchange. The Securities Central Depository Act 2009 was passed and the Authority made regulations there under.

The USE Rules were amended to among other things, introduce a volume weighted average price as a fairer basis for establishing a reference price at the opening of a trading session, as opposed to the adoption of the last transaction price. Stiffer penalties for underpayments to clients were introduced as a means of client protection, and broker/dealers were required to give 5 days prior notice of their intention to sell or buy shares in their private capacity. New provisions were introduced to prohibit a member from dealing in the securities of a listed company to which such member is a subsidiary company. The Listing Rules were amended to require companies intending to list to prepare a set of audited accounts where more than six months have elapsed since the issuer's last accounting period for which audited financial statements have been prepared.

Market Surveillance

Market surveillance is key in promoting fair, efficient and transparent operations on the Bourse, which in turn goes a long way in fostering investor confidence. As part of the market surveillance role, the Legal Department carried out scheduled inspections of member firms augmented by ad hoc surveillance visits on a case by case basis. The Exchange also monitored compliance by listed entities as far as their continuing listing obligations are concerned.

Regulatory Framework

In its operations, the Uganda Securities Exchange complies with the provisions of the Companies Act Cap. 110, the Capital Markets Authority Act Cap. 84 and the Regulations made there under, the Securities Central Depository Act 2009 and the Regulations made thereunder, the Memorandum and Articles of Association and the Rules and Regulations of the Exchange.

Regional Integration

The department participated at the regional meetings of the East African Stock Exchanges Association (EASEA) at which among other things, the Securities Industry Training Institute (SITI)'s work plan, budget and future sustainability as well as the EASEA strategic plan were discussed. SITI was formed to address the capacity building and certification needs for market participants in the East African region.



H.E. Y.K. Museveni the President of the Rep. of Uganda tours exibition to mark the 12th ASEA Conference.



Hon. Minister of State, General Duties MOFPED, Hon. Fred Omach (2nd left) officiating at the 6th USE Beri Forum

Information Technology Report

The core mandate of the IT department at USE is to maintain a robust and efficient IT infrastructure by ensuring compliance with industry standards and optimal utilization of the infrastructure by both internal and external users. This infrastructure provides a number of services including basic office systems, business applications and communication tools. The key activities of 2009 included maintenance of the IT infrastructure, recommendation of new technologies to enhance the operations of the USE and preparation to implement of enhancements to the infrastructure to meet the key objectives of the national payments and settlement systems master-plan under the FMDC framework. The department was staffed by three technical resource personnel; The Head IT, IT support officer and a temporary IT Support staff.

Systems

The systems run by the department include database systems, the corporate network connected to the internet, communications systems including public address systems, email and telecommunication; user applications and Anti-Virus software. Incremental backups of the above systems were carried out daily to an offsite Data Recovery Site located 5km out of Kampala Central Business District. Automatic backups of both data and electronic file were scheduled daily and transferred to this site over a secure dedicated link. The website (www.use.or.ug) was updated regularly with trading and market information, and together with the mailing list facility have been instrumental in disseminating information to the general public. It has been observed that the most visited page of the website is the data search facility that enables users to look at the historical trading of the Exchange since inception (2000). Increased electronic mail volumes from stakeholders were also recorded in the year 2009.

Hardware

The computing and telecommunication equipment continued to be regularly serviced once every quarter. Hardware upgrades for key systems are planned for the 2010 financial year.

Staffing and Training on technologies

The IT staff did participate in a number of local and international training workshops, both technical and business related.

The IT Officer attended a number of Oracle Technology Day workshops covering the database technologies used by the USE.

The Head IT participated in a regional workshop organised by EASEA, EAC and IFC on the integration of the regional SCDs.

The SCD Project

With the resolution of the legal requirements for the operation of the SCD in 2009, the department participated in a number of activities in preparation for the commencement of the SCD. These included training of trainers and mock tests runs of the SCD application.

Regional Initiatives

The department participated in technical discussions geared towards developing an integration model for delivery of services to the EA capital markets. The focus for the future remains consolidation of the efforts to ensure a functional SCD system, plan for the acquisition of the Automated Trading System and integration of systems in the EA region. Efficiency and cost of IT systems will remain the key drivers of all departmental strategies.



H.E. Y.K. Museveni the President of the Rep. of Uganda being welcomed to the 12th ASEA Conference by Mr. Samwiri Njuki Chairman USE.



H.E. Y.K. Museveni greets Simon Rutega CE USE at the 12th ASEA Conference.

Corporate Information

Governing Council	Samwiri Njuki	- Chairman
	Simon Rutega	- CE
	Mark Horwood	
	A.R Kalan	
	Geoffrey Onegi Obel	
	Andrew Owiny	
	Kaushal Kumar	
	Kenneth Kitariko	
	Agnes Mayanja	
	Njirwa Samuel	
Secretary	Rosette Comfort Kania	- Acting Secretary
Registered Office	Workers' House Plot 1 Pilkington Road, 2nd Floor, Northern Wing P. O. Box 23552 Kampala	
Auditors	Deloitte & Touche Certified Public Accountants (Uganda) Rwenzori House 1 Lumumba Avenue P. O. Box 10314 Kampala	
Bankers	Citibank Uganda Limited Corporate Banking Division Plot 4 Ternan Avenue P. O. Box 7505 Kampala	
	Stanbic Bank Uganda Limited City Branch P. O. Box 7130 Kampala	

FOR THE YEAR ENDED 31 DECEMBER 2009

The directors present their report together with the audited financial statements for the year ended 31 December 2009.

Activities

The principal activity of the entity is to provide, maintain and regulate suitable premises and facilities for conducting all the business of securities exchange.

Results

	Ushs
Loss before taxation	(199,879,912)
Taxation	-
Loss for the year	(199,879,912)

Dividends

Directors

The present membership of the governing council set out on page 18.

The changes to the governing council during the year are as indicated below;

Njoroge Nganga	Resigned 25 March 2009
Rajesh Khanna	Resigned 30 September 2009
Njirwa Samuel	Joined 25 March 2009
Kaushal Kumar	Joined 30 Sept 2009

Secretary

Judy Obitre Gama Resigned 31 December 2009

Auditors

Deloitte & Touche, having expressed their willingness, continue in office in accordance with Section 159(2) of the Ugandan Companies Act (Cap.85).

By Order Of The Board



Secretary

Kampala

1st - February - 2010

Statement of Directors' Responsibilities

The Ugandan Companies Act requires the directors to prepare financial statements for each financial year which give a true and fair view of the state of affairs of the company as at the end of the financial year and of the operating results of the company for that year. It also requires the directors to ensure the company keeps proper accounting records which disclose with reasonable accuracy at any time the financial position of the company. They are also responsible for safeguarding the assets of the company.

The directors are responsible for the preparation and fair presentation of the financial statements in accordance with International Financial Reporting Standards. This responsibility includes: designing, implementing and maintaining internal controls relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error; selecting and applying appropriate accounting policies; and making accounting estimates that are reasonable in the circumstances.

The directors accept responsibility for the annual financial statements, which have been prepared using appropriate accounting policies supported by reasonable and prudent judgements and estimates, in conformity with International Financial Reporting Standards and in the manner required by the Ugandan Companies Act. The directors are of the opinion that the financial statements give a true and fair view of the state of the financial affairs of the company and of its operating results. The directors further accept responsibility for the maintenance of accounting records which may be relied upon in the preparation of financial statements, as well as adequate systems of internal financial control.

Nothing has come to the attention of the directors to indicate that the company will not remain a going concern for at least the next twelve months from the date of this statement.

Signed on behalf of the board of directors by;

Director

1st - February - 2010

Director

1st - February - 2010

Deloitte.

Independent Auditors' Report to the Members of Uganda Securities Exchange Limited

Report on the Financial Statements

We have audited the accompanying financial statements of Uganda Securities Exchange Limited, set out on pages 20 to 37 which comprise the statement of financial position as at 31 December 2009, and the statement of comprehensive income, statement of changes in equity and statement of cash flows for the year then ended, together with the summary of significant accounting policies and other explanatory notes.

Directors' Responsibility for the Financial Statements

The directors are responsible for the preparation and fair presentation of these financial statements in accordance with International Financial Reporting Standards and the provisions of the Ugandan Companies Act. This responsibility includes: designing, implementing and maintaining internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error; selecting and applying appropriate accounting policies; and making accounting estimates that are reasonable in the circumstances.

Auditors' Responsibility

Our responsibility is to express an opinion on these financial statements based on our audits. We conducted our audit in accordance with International Standards on Auditing. Those standards require that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance as to whether the financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and in the financial statements. The procedures selected depend on our judgment and include an assessment of the risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, we considered internal controls relevant to the entity's preparation and fair presentation of the financial statements in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the entity's internal control. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of accounting estimates made by directors, as well as evaluating the overall presentation of the financial statements.

"We believe that the audit evidence that we obtained is sufficient and appropriate to provide a basis for our audit opinion."

Opinion

In our opinion, the accompanying financial statements give a true and fair view of the state of affairs of the company at 31 December 2009 and of its loss and cash flows for the year then ended in accordance with International Financial Reporting Standards and comply with the Ugandan Companies Act.

Report on Other Legal Requirements

As required by the Ugandan Companies Act, we report to you based on our audit, that:

i) we have obtained all the information and explanations which to the best of our knowledge and belief were necessary for the purpose of our audit;

ii) in our opinion, proper books of account have been kept by the company, so far as appears from our examination of those books; and

iii) the company's balance sheet and income statement are in agreement with the books of account.

Deloitte & Touche

Certified Public Accountants (Uganda)

12th - February - 2010

Kampala



Statement of Comprehensive Income

For the year ended 31 December 2009

	Note	12 months to 31 December 2009 Ushs	18 months to 31 December 2008 Ushs
Revenue			
Fees and commissions	7	815,375,869	1,805,398,633
Revenue grant	8	298,750,000	371,250,000
Capital grants realised	18	-	13,005,714
Other income	9(a)	213,937,000	180,916,847
Interest income	9(b)	169,462,076	198,495,192
Gross Income		1,497,524,945	2,569,066,386
Operating expenses	10	(137,934,115)	(329,329,551)
Administration expenses	11	(558,014,362)	(557,272,098)
Staff costs	5	(1,001,456,381)	(1,464,318,518)
(Loss)/profit before taxation	6	(199,879,912)	218,146,219
Taxation	21	-	-
(Loss)/profit for the period		(199,879,912)	218,146,219
Other comprehensive income		-	-
Total comprehensive income for the year		(199,879,912)	218,146,219

Statement of Financial Position

For the year ended 31 December 2009

	Note	31 December 2009 Ushs	31 December 2008 Ushs
Assets			
Non-current assets			
Property and equipment	12	170,625,860	248,907,242
Intangible assets	13	482,658,443	434,723,325
Unquoted investment	14	65,175,674	65,175,674
		718,459,977	748,806,241
Current assets			
Trade and other receivables	15	736,224,468	729,614,268
Due from related parties	16(b)	6,910,106	71,821,323
Treasury bills	17	1,434,148,600	1,395,954,504
Bank and cash balances		387,183,055	572,549,895
		2,564,466,228	2,769,939,990
Total assets		3,282,926,205	3,518,746,231
Equity and Liabilities			
Capital and reserves			
Capital grants	18	410,536,056	410,536,056
Retained earnings		2,660,550,216	2,860,430,128
		3,071,086,272	3,270,966,184
Current liabilities			
Trade and other payables	19	211,839,933	247,780,047
Total equity and liabilities		3,282,926,205	3,518,746,231

The financial statements on pages 7 to 26 were approved by the board of directors on 1st February 2010 and signed on its behalf by:



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Directors



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Statement of Changes In Equity

For the year ended 31 December 2009

	Capital Grants Ushs	Retained Earnings Ushs	Total Ushs
At 1 July 2007	13,005,714	2,642,283,909	2,655,289,623
Profit for the period	-	218,146,219	218,146,219
Additions	410,536,056	-	410,536,056
Realised to income	(13,005,714)	-	(13,005,714)
At 31 December 2008	410,536,056	2,860,430,128	3,270,966,184
At 1 January 2009	410,536,056	2,860,430,128	3,270,966,184
Loss for the year	-	(199,879,912)	(199,879,912)
At 31 December 2009	410,536,056	2,660,550,216	3,071,086,272

Statement of Cash Flows

For the year ended 31 December 2009

	12 months 31 December 2009 Ushs	18 months 31 December 2008 Ushs
(Loss)/profit before taxation	(199,879,912)	218,146,219
Adjusted for:		
Depreciation	79,847,882	76,113,783
Amortisation	12,304,248	19,225,232
Amortisation of capital grants	-	(13,005,714)
Gain on disposal of assets	-	(8,759,500)
	(107,727,782)	291,720,020
Changes in working capital balances		
Increase in trade and other receivables	(6,610,200)	(603,387,056)
Decrease/(increase) in amounts due from related parties	64,911,217	(26,332,024)
(Decrease)/increase in trade and other payables	(35,940,114)	231,802,151
Net cash used in operating activities	(85,366,879)	(106,196,909)
Investing activities		
Purchase of property and equipment	(1,566,500)	(273,662,408)
Purchase of intangible assets	(60,239,366)	(446,816,960)
Proceeds from disposal of assets	-	8,759,500
Investment in Treasury Bills	(202,551,198)	(109,937,364)
Interest received	164,357,103	186,320,357
Net cash used in investing activities	(99,999,961)	(635,336,875)
Financing activities		
Capital grant received	-	410,536,056
Net cash generated from financing activities	-	410,536,056
Decrease in cash and cash equivalents	(185,366,840)	(330,997,728)
Cash and cash equivalents at beginning of the period	572,549,895	903,547,623
Cash and cash equivalents at end of the period	387,183,055	572,549,895
Represented by:		
Bank and Cash balances	387,183,055	572,549,895



Notes to the Financial Statements

For The Year Ended 31 December 2009

1. GENERAL.

Uganda Securities Exchange is a limited liability company incorporated and domiciled in Uganda in accordance with the Ugandan Companies Act.

2. BASIS OF PREPARATION

a) Statement of compliance

i) Statement of Compliance with International Financial Reporting Standards.

The financial statements have been prepared in accordance with applicable International Financial Reporting Standards (IFRS).

ii) Adoption of new and Revised International Financial Reporting Standards.

a) Standards and Interpretations affecting amounts reported in the current period (and/or prior periods).

The following new and revised Standards and Interpretations have been adopted in the current period and have affected the amounts reported in these financial statements. Details of other Standards and Interpretations adopted in these financial statements but that have had no impact on the amounts reported are set out in section.

Standards affecting presentation and disclosure.

IAS 1 Presentation of Financial Statements (as revised in 2007) has introduced terminology changes (including revised titles for the financial statements) and changes in the format and content of the financial statements.

Improving Disclosures about Financial Instruments (Amendments to IFRS 7 Financial Instruments: Disclosures); expands the disclosures required in respect of fair value measurements and liquidity risk. The Group has elected not to provide comparative information for these expanded disclosures in the current year in accordance with the transitional reliefs offered in these amendments.

Amendments to IFRS 5 Non-current Assets Held for Sale and Discontinued Operations (adopted in advance of effective date of 1 January 2010); Disclosures in these financial statements have been modified to reflect the IASB's clarification (as part of Improvements to IFRSs (2009)) that the disclosure requirements in Standards other than IFRS 5 do not generally apply to non-current assets classified as held for sale and discontinued operations.

Amendments to IAS 7 Statement of Cash Flows (adopted in advance of effective date of 1 January 2010); specify that only expenditures that result in a recognised asset in the statement of financial position can be classified as investing activities in the statement of cash flows.

Standards and Interpretations affecting the reported results or financial position.

IFRS 3 (as revised in 2008) Business Combinations; This has been adopted in the current year in advance of its effective date (business combinations for which the acquisition date is on or after the beginning of the first annual period beginning on or after 1 July 2009). Its adoption has affected the accounting for business combinations in the current period.

IAS 27 (as revised in 2008) Consolidated and Separate Financial Statements; This has been adopted in advance of its effective date (annual periods beginning on or after 1 July 2009). The revisions to IAS 27 principally affect the accounting for transactions or events that result in a change in the Group's interests in its subsidiaries.

Amendments to IAS 38 Intangible Assets; As part of Improvements to IFRSs (2008), IAS 38 has been amended to state that an entity is permitted to recognise a prepayment asset for advertising or promotional expenditure only up to the point at which the entity has the right to access the goods purchased or up to the point of receipt of services.

Amendments to IAS 39 Financial Instruments: Recognition & Measurement and IFRS 7 Financial Instruments: Disclosures regarding reclassifications of financial assets.

b) Standards and Interpretations adopted with no effect on financial statements.

The following new and revised Standards and Interpretations have also been adopted in these financial statements. Their adoption has not had any significant impact on the amounts reported in these financial statements but may impact the accounting for future transactions or arrangements.

Amendments to IFRS 1 First-time Adoption of International Financial Reporting Standards and IAS 27 Consolidated and Separate Financial Statements – Cost of an Investment in a Subsidiary, Jointly Controlled Entity or Associate; The amendments deal with the measurement of the cost of investments in subsidiaries, jointly controlled entities and associates when adopting IFRSs for the first time and with the recognition of dividend income from subsidiaries in a parent's separate financial statements.

Amendments to IFRS 2 Share-based Payment - Vesting Conditions and Cancellations; The amendments clarify the

definition of vesting conditions for the purposes of IFRS 2, introduce the concept of non-vesting conditions, and clarify the accounting treatment for cancellations.

IAS 23 (as revised in 2007) Borrowing Costs; the principal change to the Standard was to eliminate the option to expense all borrowing costs when incurred. This change has had no impact on these financial statements because it has always been the Group's accounting policy to capitalise borrowing costs incurred on qualifying assets.

Amendments to IAS 32 Financial Instruments: Presentation and IAS 1 Presentation of Financial Statements – Puttable Financial Instruments and Obligations Arising on Liquidation; The revisions to IAS 32 amend the criteria for debt/equity classification by permitting certain puttable financial instruments and instruments (or components of instruments) that impose on an entity an obligation to deliver to another party a pro-rata share of the net assets of the entity only on liquidation, to be classified as equity, subject to specified criteria being met.

Amendments to IAS 39 Financial Instruments: Recognition and Measurement – Eligible Hedged Items; the amendments provide clarification on two aspects of hedge accounting: identifying inflation as a hedged risk or portion, and hedging with options.

Embedded Derivatives (Amendments to IFRIC 9 and IAS 39); The amendments clarify the accounting for embedded derivatives in the case of a reclassification of a financial asset out of the fair value through profit or loss' category as permitted by the October 2008 amendments to IAS 39 Financial Instruments: Recognition and Measurement (see above).

IFRIC 17 Distributions of Non-cash Assets to Owners (adopted in advance of effective date of 1 July 2009); The Interpretation provides guidance on the appropriate accounting treatment when an entity distributes assets other than cash as dividends to its shareholders.

Improvements to IFRSs (2008); In addition to the changes affecting amounts reported in the financial statements described at (a) above, the Improvements have led to a number of changes in the detail of the Group's accounting policies – some of which are changes in terminology only, and some of which are substantive but have had no material effect on amounts reported. The majority of these amendments are effective from 1 January 2009.

Improvements to IFRSs (2009); In addition to the amendments to IFRS 5 and IAS 7 described earlier in this section, and the amendments to IAS 17 discussed in section (c) below, the Improvements have led to a number of changes in the detail of the Group's accounting policies – some of which are changes in terminology only, and some of which are substantive but have had no material effect on amounts reported. Except as noted in (c) below, these changes have been adopted in advance of their effective dates (generally 1 January 2010).

c) *Standards and Interpretations in issue not yet adopted.*

The following amendments to existing standard, new standards and interpretations will become effective on or after 1 January 2010.

Amendments to IAS 17 Leases (April 2009); Following the amendments, leases of land are classified as either 'finance' or 'operating' using the general principles of IAS 17. These amendments are effective for annual periods beginning on or after 1 January 2010, and they are to be applied retrospectively to unexpired leases at 1 January 2010 if the necessary information was available at the inception of the lease.

The directors anticipate that these amendments to IAS 17 will be adopted in the Group's financial statements for the annual period beginning 1 January 2010. It is likely that the changes will affect the classification of some of the Group's leases of land. However, it is not practicable to provide a reasonable estimate of that effect until a detailed review has been completed.

Amendments to IFRS 2 Share-based Payment (June 2009); These amendments clarify the scope of IFRS 2, as well as the accounting for group cash-settled share-based payment transactions in the separate (or individual) financial statements of an entity receiving the goods or services when another group entity or shareholder has the obligation to settle the award.

The directors anticipate that these amendments will be adopted in the Group's financial statements for the period beginning 1 January 2010. The directors have not yet had an opportunity to consider the potential impact of the adoption of these amendments.

The financial statements have been prepared on the historical cost basis of accounting as modified by the revaluation of property and financial instruments which are accounted for at fair value.



d) *Functional and presentation currency.*
The financial statements are presented in Uganda Shillings (Ushs), which is also the bank's functional currency. Except as indicated, financial information presented in Uganda Shillings has been rounded to the nearest thousand.

e) *Use of estimates and judgements.*
The preparation of financial statements requires management to make judgements, estimates and assumptions that affect the application of accounting policies and the reported amounts of assets and liabilities and disclosure of contingent assets and liabilities at the date of the financial statements and the reported amounts of revenue and expenses during the reported period. Actual results may differ from these estimates.

Estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognised in the period in which the estimate is revised and in any future periods affected.

During the period, the areas involving a higher degree of judgement or complexity or where assumptions and estimates are significant to the financial statements are disclosed in note 5 .

3. BASIS OF ACCOUNTING

The company prepares its financial statements in Uganda shillings under the historical cost convention in conformity with International Financial Reporting Standards.

Revenue recognition

Revenue is measured at the fair value of the consideration received or receivable from provision of goods and services. Revenue is reduced for estimated customer returns, rebates and other similar allowances. Fees and commissions are recognised on an accrual basis when the service has been provided.

Interest income is reognised on an accrual basis by reference to the principal outstanding and at the effective interest rate applicable.

Property and equipment

Property and equipment are stated at the cost of bringing the assets to their present location and condition less accumulated depreciation.

Depreciation

Depreciation is calculated to write off the cost of property and equipment on a straight line basis using the following annual rates: -

Motor vehicles	25.00%
Furniture and fittings	12.50%
Office equipment	12.50%
Office partitions	33.33%
Computer equipment	33.33%

Gains and losses on disposal of property, plant and equipment are determined by reference to their carrying amount and are taken into account in determining operating profit.

Intangible assets

Software.
Computer software is measured initially at purchase cost and amortized on a straight-line basis over its estimated useful life.

Capital grants.
Grants related to the acquisition of assets are recognised in the income statement on a systematic basis over the useful lives of the assets acquired.

Impairment of tangible and intangible assets.
At each balance sheet date, the company reviews the carrying amounts of its tangible and intangible assets to determine whether there is any indication that those assets have suffered an impairment loss. If any such indication exists, the recoverable amount of the asset is estimated in order to determine the extent of the impairment loss (if any). Where it is not possible to estimate the recoverable amount of an individual asset, the company estimates the recoverable amount of the cash-generating unit to which the asset belongs. Where a reasonable and consistent basis of allocation can be identified, corporate assets are also allocated to individual cash-generating units, or otherwise they are allocated to the smallest group of cash-generating units for which a reasonable and consistent allocation basis can be identified.

Intangible assets with indefinite useful lives and intangible assets not yet available for use are tested for impairment annually, and whenever there is an indication that the asset may be impaired.

Recoverable amount is the higher of fair value less costs to sell and value in use. In assessing value in use,
the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset for which the estimates of future cash flows have not been adjusted.

If the recoverable amount of an asset (or cash-generating unit) is estimated to be less than its carrying amount, the carrying amount of the asset (cash-generating unit) is reduced to its recoverable amount. An impairment loss is recognised immediately in profit or loss, unless the relevant asset is carried at a revalued amount, in which case the impairment loss is treated as a revaluation decrease.
Where an impairment loss subsequently reverses, the carrying amount of the asset (cash-generating unit) is increased to the revised estimate of its recoverable amount, but so that the increased carrying amount does not exceed the carrying amount that would have been determined had no impairment loss been recognised for the asset (cash-generating unit) in prior years. A reversal of an impairment loss is recognised immediately in profit or loss, unless the relevant asset is carried at a revalued amount, in which case the reversal of the impairment loss is treated as a revaluation increase.

Financial instruments.
Financial assets are recognised initially at cost using settlements date accounting. Held to maturity investments are subsequently measured at amortised cost while financial assets held for trading and available for sale are measured at fair value.

Loans, advances and receivables.
Loans advances and receivables are non-derivative financial assets with fixed or determinable payments and fixed maturities that are not quoted in an active market. Loans and advances are recognised when cash is advanced to borrowers.

Trade receivables are carried at an anticipated realisable value. An estimate is made for doubtful receivables based on a review of all outstanding amounts at the year end. Bad debts are written off during the year in which they are identified.

Specific provision is made for all known bad debts. Bad debts are written off when all reasonable steps to recover them have been taken without success.

Financial liabilities.
Borrowings are classified as financial liabilities.

Derecognition.
The company derecognises a financial asset when the contractual rights to the cash flows from the asset expire, or it transfers substantially all the risks and rewards of ownership of the financial asset. A financial liability is derecognised when its contractual obligations are discharged or extinguished.

Measurement.
Financial instruments are initially recognised at fair value plus transaction costs.

Financials assets at 'fair value through profit and loss' are subsequently carried at fair value. Gains and loss arising from changes in the fair value in those assets are recognised in the statement of comprehensive income in the period in which they arise.

Loans and advances and held to maturity investments are carried at amortised cost using the effective interest rate method. Financial liabilities are subsequently measured at amortised cost.

Provisions.
Provisions are recognised when the company has a present legal or constructive obligation as a result of past events, it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation, and a reliable estimate of the amount can be made.

Retirement benefit obligations

National Social Security Fund.
The company makes contributions to the National Social Security Fund (NSSF) which is a statutory retirement benefit scheme established under the NSSF Act. This is a defined contribution scheme into which the company contributes 10% of the employees' gross cash emoluments. The company's contribution is charged to the income statement as it falls due.

Translation of foreign currencies.
Assets and liabilities at the balance sheet date which are expressed in foreign currencies are translated into Uganda Shillings at the rate of exchange ruling at the balance sheet date. Foreign currency transactions during the year are translated into Uganda Shillings at the rates ruling at the transaction dates. The resulting differences are dealt with in the income statement in the year in which they arise.

Taxation.
The company is exempt from paying corporation tax as per section 2 of the Income Tax Act .

Cash and cash equivalents.
For the purposes of the statement of flow statement, cash and cash equivalents comprise cash on hand, deposits held at call with banks, other short-term highly liquid investments and bank overdrafts.



Comparatives.
Where necessary, comparative figures have been adjusted to conform with changes in presentation in the current year.

4. CRITICAL JUDGMENT IN APPLYING THE ENTITY'S ACCOUNTING POLICIES

In the process of applying the entity's accounting policies, management has made estimates and assumptions that affect the reported amounts of assets and liabilities within the next financial year. Estimates and judgements are continually evaluated and are based on historical experience and other factors, including expectations of future events that are believed to be reasonable under the circumstances. The key areas of judgement in applying the company's accounting policy are dealt with below:

At each balance sheet date, the company reviews the carrying amounts of its tangible and intangible assets and development costs to determine whether there is any indication that those assets have suffered an impairment loss. If any such indication exists, the recoverable amount of the asset is estimated in order to determine the extent of the impairment loss. Where it is not possible to estimate the recoverable amount of an individual asset, the company estimates the recoverable amount of the cash generating unit to which the asset belongs.

	12 months to 31 December 2009 Ushs	18 months to 31 December 2008 Ushs
5. STAFF COSTS		
Health and Travel Insurance	20,879,328	30,836,394
Salaries and Wages	772,766,929	952,998,955
Security CEO	-	1,327,500
Staff Training	3,742,640	87,790,930
NSSF Contribution	74,979,368	93,613,425
Other training	-	16,955,887
Staff Welfare	129,088,116	280,795,427
	1,001,456,381	1,464,318,518
6. (LOSS) / PROFIT BEFORE TAXATION		
The (loss) / profit before taxation is arrived at after charging:		
Auditors' remuneration	21,064,685	4,351,132
Depreciation	79,847,882	76,113,783
Amortization	12,304,248	19,225,232
7. FEES AND COMMISSIONS		
Application and entrance fees	-	8,000,000
Brokerage commission	55,269,779	366,968,878
Equity listing	249,231,090	927,774,755
Membership fees	13,500,000	12,500,000
Bonds listing fees	497,375,000	490,155,000
	815,375,869	1,805,398,633

		12 months to 31 December 2009 Ushs	18 months to 31 December 2008 Ushs
8.	REVENUE GRANT		
	This is a grant received on an annual basis from Bank of Uganda to assist the company in carrying out its operations.		
9.	OTHER INCOME		
(a)	Miscellaneous income		
	Gain on disposal of assets	-	8,759,500
	Income from training-SITI	9,260,000	6,500,000
	African Stock Exchanges Association (ASEA) Conference	181,829,441	153,037,725
	Website advertising	413,540	-
	Penalties	3,914,132	-
	Foreign exchange gains	18,519,887	12,619,622
		213,937,000	180,916,847
(b)	Interest income		
	Interest on Treasury Bills	164,357,103	186,320,357
	Interest earned on current account	5,104,973	12,174,835
		169,462,076	198,495,192
	Total other income	383,399,075	379,412,039
10.	OPERATING EXPENSES		
	Regional meetings, travel	44,221,449	107,682,057
	Software licences	29,566,396	83,019,461
	Board exposure programmes	-	36,042,903
	With Holding Tax	21,652,794	29,118,447
	Hardware maintenance and repairs	3,432,060	17,694,120
	Motor vehicle and equipment costs	14,830,146	22,329,540
	USE courses, seminars and exhibitions	1,390,700	13,571,915
	CDS operational expenses	3,135,400	7,110,132
	SITC	4,886,291	4,190,130
	Business development	3,574,190	1,627,496
	ASEA expenses	11,119,689	6,943,350
	Public education	125,000	-
		137,934,115	329,329,551



		12 months to 31 December 2009 Ushs	18 months to 31 December 2008 Ushs
11.	ADMINISTRATIVE EXPENSES		
	Rent	226,896,410	196,049,750
	Depreciation	79,847,882	76,113,783
	Telephone, fax, post and email	48,678,376	57,082,879
	General office expenses	8,548,430	39,633,182
	Board allowances	28,800,000	28,855,000
	Insurance	6,441,183	22,196,501
	Stationery and printing	11,237,393	19,133,650
	Printing and publication	21,431,800	16,887,800
	Membership and subscription	5,021,601	15,250,305
	Office redesign expenses	3,963,372	-
	Advertising and publicity	3,782,901	15,049,300
	Consultancy	169,920	9,257,060
	Amortisation	12,304,248	19,225,232
	Bad debts	56,980,043	-
	EASEA Secretariat	178,600	8,328,300
	Newspapers and magazines	1,740,900	7,022,600
	Bank charges	2,877,161	6,806,884
	Electricity	6,695,257	6,216,840
	Corporate social responsibility	1,704,900	5,516,000
	Audit fees- prior year	11,064,685	4,351,132
	Audit fees- current year	10,000,000	-
	Cleaning and fumigation	3,642,000	3,004,500
	Entertainment	1,889,200	1,245,600
	External legal services	1,699,100	45,800
	Security	2,419,000	-
		558,014,362	557,272,098

12. PROPERTY AND EQUIPMENT

	Motor vehicles Ushs	Furniture and fittings Ushs	Office Partitions Ushs	Computer equipment Ushs	Total Ushs
Cost					
At 1 July 2007	58,011,327	112,534,626	1,819,000	164,987,916	337,352,869
Additions	176,267,221	58,705,744	-	38,689,443	273,662,408
Disposals	(58,011,327)	-	-	(11,219,283)	(69,230,610)
At 31 December 2008	176,267,221	171,240,370	1,819,000	192,458,076	541,784,667
At 1 January 2009	176,267,221	171,240,370	1,819,000	192,458,076	541,784,667
Additions	-	1,566,500	-	-	1,566,500
At 31 December 2009	176,267,221	172,806,870	1,819,000	192,458,076	543,351,167
Depreciation					
At 1 July 2007	58,011,327	74,530,523	1,667,416	151,784,986	285,994,252
Charge for the period	38,721,514	20,714,039	151,584	16,526,646	76,113,783
Elimination on disposal	(58,011,327)	-	-	(11,219,283)	(69,230,610)
At 31 December 2008	38,721,514	95,244,562	1,819,000	157,092,349	292,877,425
At 1 January 2009	38,721,514	95,244,562	1,819,000	157,092,349	292,877,425
Charge for the year	44,066,805	16,078,599	-	19,702,478	79,847,882
At 31 December 2009	82,788,319	111,323,161	1,819,000	176,794,827	372,725,307
Net book value					
At 31 December 2009	93,478,902	61,483,709	-	15,663,249	170,625,860
At 31 December 2008	137,545,707	75,995,808	-	35,365,727	248,907,242



13. INTANGIBLE ASSETS

	Capital grant Ushs	Software Ushs	Total Ushs
Cost			
At 1 July 2007	-	56,507,483	56,507,483
Additions	410,536,056	36,280,904	446,816,960
At 31 December 2008	410,536,056	92,788,387	503,324,443
At 1 January 2009	410,536,056	92,788,387	503,324,443
Additions	55,711,182	4,528,184	60,239,366
At 31 December 2009	466,247,238	97,316,571	563,563,809
Amortisation			
At 1 July 2007	-	49,375,886	49,375,886
Charge for the period	-	19,225,232	19,225,232
At 31 December 2008	-	68,601,118	68,601,118
At 1 January 2009	-	68,601,118	68,601,118
Charge for the year	-	12,304,248	12,304,248
At 31 December 2009	-	80,905,366	80,905,366
Net book value			
At 31 December 2009	466,247,238	16,411,205	482,658,443
At 31 December 2008	410,536,056	24,187,269	434,723,325

14. UNQUOTED INVESTMENT

The unquoted investment relates to an investment in the East African Central Depository System of up to 2.5% shareholding and is classified as available for sale. This investment does not have a quoted market price in an active market and therefore its fair value cannot be measured reliably. It has therefore been carried at cost less impairment if any.

			12 months to 31 Dec 2009 Ushs	18 months to 31 Dec 2008 Ushs
15	TRADE AND OTHER RECEIVABLES			
	Trade receivables		669,043,240	594,921,624
	Other receivables		51,640,860	122,531,289
	Prepayments		15,540,368	621,432
	Staff advances		-	11,539,923
			736,224,468	729,614,268
16	RELATED PARTY BALANCES AND TRANSACTIONS			
(a)	Related parties include:			
	African Alliance (U) Limited	Dyer and Blair Uganda Limited		
	Baroda Capital Markets Limited	Equity Stock Brokers (U) Limited		
	Crane Financial Services Limited	MBEA Brokerage Services Limited		
	Crested Stocks and Securities Limited	Renaissance Capital (U) Limited		
	Made in Africa (IB) EA Limited			
(b)	Amounts due from related parties			
	African Alliance (U) Limited		308,479	20,063,554
	Baroda Capital Markets Limited		170,853	30,140,657
	Dyer and Blair Uganda Limited		2,710,834	10,122,633
	Crane Financial Services Limited		289,569	-
	Equity Stock Brokers (U) Limited		1,823,610	7,183,114
	MBEA Brokerage Services Limited		843,793	4,240,482
	Renaissance Capital (U) Limited		734,078	-
	Crested Stocks and Securities Limited		28,888	70,883
			6,910,106	71,821,323
(c)	Related party transactions comprise			
	Penalty charges		3,914,132	10,050
	Brokerage commission		55,269,779	366,968,878
			59,183,911	366,978,928
(d)	Key management compensation			
	Salaries and benefits		184,146,429	106,585,716
(e)	Directors' emoluments			
	Board allowances		28,800,000	28,855,000



		12 months to 31 Dec 2009 Ushs	18 months to 31 Dec 2008 Ushs
(d)	Key management compensation		
	Salaries and benefits	184,146,429	106,585,716
(e)	Directors' emoluments		
	Board allowances	28,800,000	28,855,000
17.	TREASURY BILLS		
	Treasury bills at redemption value:		
	Maturing within 90 days	1,450,000,000	700,000,000
	Maturing after 90 days	-	750,000,000
		1,450,000,000	1,450,000,000
	Less: unearned interest	(15,851,400)	(54,045,495)
		1,434,148,600	1,395,954,505
18.	CAPITAL GRANT		
	Opening balance	410,536,056	13,005,714
	additions	-	410,536,056
	Realised to income	-	(13,005,714)
	Closing balance	410,536,056	410,536,056
	This relates to a capital grant from the German Technical Cooperation (GTZ) that was given in form of computers and the Central Depository System operating software. These assets are estimated to have a useful life of 3 years. The assets are yet to be put to use and hence no amortisation has been charged for the current year.		
19.	TRADE AND OTHER PAYABLES		
	Trade payables	7,959,933	-
	Accrued expenses	193,880,000	79,809,319
	Other creditors	10,000,000	167,970,728
		211,839,933	247,780,047
20.	FINANCIAL RISK MANAGEMENT		
	The company has exposure to the following risks from its use of financial instruments		
	a) Credit Risk		
	b) Liquidity Risk		

c) Market Risk

d) Capital Management

The company's principal business activity is to provide, maintain and regulate suitable premises and facilities for conducting all the business of the securities exchange.

The company is exposed to various risks, including credit risk, interest risk, liquidity risk and market risk. The company's risk management strategy is based on a clear understanding of the various risks, disciplined risks assessment and measurement procedures and continuous monitoring. The policies and procedures established for this purpose are continuously benchmarked with the clearing and forwarding industry best practices. The management is responsible for the assessment, management and mitigation of risk in the company.

The company overall risk management programme focuses on unpredictability of changes in the business environment and seeks to minimise the potential adverse effect of such risks on its performance by setting acceptable levels of risk. The company does not hedge any risks.

The financial management objectives and policies are as outlined below:

(a) Credit risk

The company's credit risk is primarily attributable to trade and other receivables, estimated by the company's management based on prior experience, existing financial and economic factors faced by the debtor and the exit options available.
The credit risk on liquid funds with financial institutions is also low, because the institutions are banks with high credit-ratings
The amount that best represents the company's maximum exposure to credit as at end of year is made up as follows:

	Fully Performing Ushs	Past due Ushs	Impaired Ushs
Financial assets			
Bank balances	387,032,955	-	-
Trade and other receivables (less prepayments)	720,684,100	-	-
Due from related parties	6,910,106	-	-
	1,114,627,161	-	-
Financial assets			
Bank balances	572,474,295	-	-
Trade and other receivables (less prepayments)	729,551,836	-	-
Due from related parties	71,821,323	-	-
	1,302,026,131	-	-

Trade and other debtors under the fully performing category are paying their debts as they continue trading. The default rate is low. The directors do not consider the credit risk associated with the investment in Government securities to be significant.



	Fully Performing Ushs	Past due Ushs	Impaired Ushs
(b) Liquidity Risk Management			
Ultimate responsibility for liquidity risk management rests with the board of directors, which has built an appropriate liquidity risk management framework for the management of the company's short, medium and long-term funding and liquidity management requirements. The company manages liquidity risk through continuous monitoring of forecast and actual cash flows.			
Financial assets			
Bank and cash balances	387,183,055	-	-
Trade and other receivables	736,224,468	-	-
Government securities	1,434,148,600	-	-
Due from related parties	6,910,106	-	-
Total	2,564,466,228	-	-
Financial liabilities			
Trade and other payables	211,839,933	-	-
Net liquidity gap	2,352,626,295	-	-
Financial assets:			
Bank and cash balances	572,549,895	-	-
Trade and other receivables	729,614,268	-	-
Government securities	1,395,954,504	-	-
Due from related parties	71,821,323	-	-
Total	2,769,939,990	-	-
Financial liabilities:			
Trade and other payables	247,780,047	-	-
Net liquidity gap	2,522,159,943	-	-

c) Market Risk

Interest rate risk

"The interest rate risk exposure arises mainly from interest rate movements on the company's investments in treasury bills (note 11). However, this exposure is not deemed significant."

Foreign Exchange risk

The company's operations are predominantly in Uganda where the currency has been relatively stable against the major convertible currencies. Some of the expenses and income are denominated in foreign currency and therefore an exposure exists but not considered material.

(d) Capital Management

The company manages its capital to ensure that it will be able to continue as a going concern while maximizing the return to stakeholders through the optimisation of the debt and equity balance. The company's overall strategy remains at maximising stakeholders value.

The company is not subject to any externally imposed capital requirements.

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